

Chapter 2

The One Lesson of Business

Learning Objectives

- 2.1 Understand how voluntary transactions create wealth.
- 2.2 Describe factors impeding the movement of assets to higher-valued uses.
- 2.3 Infer how efficiency helps business.
- 2.4 Identify transactions that create money-making opportunities.
- 2.5 Interpret the role of design of an organization in its wealth creation.

Chapter 2 – Main Points

- Voluntary transactions create wealth by moving assets from lower- to higher-valued uses.
- Anything that impedes the movement of assets to higher-valued uses, like taxes, subsidies, or price controls, destroys wealth.
- The art of business consists of identifying assets in low-valued uses and devising ways to profitably move them to higher-valued ones.
- A company can be thought of as a series of transactions. A well-designed organization rewards employees who identify and consummate profitable transactions or who stop unprofitable ones.

Warm-Up

- Have you ever made a trade, not a purchase, with someone that left you both better off? What did each of you gain?

The One Lesson of Business

- Profitable opportunities arise when you can move lower valued assets/resources to higher valued uses.
 - This is called creating wealth.
 - The opposite is true as well. Moving higher valued assets/resources to lower valued uses destroys wealth.
- Value is inherent to the owner of the resource.
 - Willingness to pay – is how economists perceive people placing value on an item.
 - If I am willing to pay \$10 for a pizza, then I must value that pizza at \$10.
 - I may value it more, but that type of information is hidden
 - Willingness to sell – is how economists perceived firms placing value on an item
 - The goal is to bring these two together

Surplus

- When the value one has is greater than the purchasing price of an item and the same for the seller, then surplus is generated and hence wealth is created.
- Capitalism helps to generate such transactions.
 - When both parties to a transaction are free to pursue their own self-interest, then both parties benefit from the transaction.
- These types of transaction create two types of surplus: consumer (buyer) and producer (seller)
 - **Consumer surplus** is the buyer's value minus the price.
 - Think of this as extra money that a consumer gets to keep
 - **Producer surplus** is the price minus the seller's value.
 - Think of this as profit the firm gets to keep

Surplus Example

- Suppose we have the following:
- What amount of surplus is generated at each market price?

Market Price	Consumer Willingness to Pay (Value)	Producer Willingness to Sell (Value)	Surplus
\$13	\$12	\$5	\$
\$9	\$10	\$7	\$
\$5	\$8	\$9	\$

Surplus Example

- At \$13, the consumer will not purchase the good, so no surplus is generated.
- At \$9, the consumer gains \$1 in surplus and the producer gains \$2 in surplus
- At \$5, the consumer gains \$3 in surplus and the producer gains \$4 in surplus.

Market Price	Consumer Willingness to Pay (Value)	Producer Willingness to Sell (Value)	Surplus
\$13	\$12	\$5	\$0
\$9	\$10	\$7	\$3
\$5	\$8	\$9	\$0

Is Surplus Bad?

- Emphatically NO!
- If both parties are willing to participate in the transaction, then both parties must be gaining from the transaction
- Having freedom of intervention actually maximizes the total surplus in the market. (First Fundamental Theorem of Welfare Economics)
- Critics will argue that Capitalism destroys wealth because it helps the corporations.
 - Critics fail to account for the **mutual gains from trade**
 - They fail to account for the [gains in societal welfare](#)
 - They also ignore that capitalism has [brought more people out of poverty](#) than any other economic system

Discussion Activity 1

- Think of a time you got a “great deal” on something. What made the deal valuable to *you* and to the seller?
- Think in terms of willingness to pay vs. willingness to sell. Did both sides gain?

Activity – Identify Profit Opportunities

- Is there a money-making opportunity here? If so, what's blocking it?
- Scenario 1:
 - A farmer can grow higher-value crops, but government subsidies encourage wheat.
- Scenario 2:
 - A customer is willing to pay \$100 for a tool. The store sells it for \$70, unaware of demand.
- Scenario 3:
 - A firm has excess warehouse space. No system exists to lease or repurpose it.

Activity – Identify Profit Opportunities

- A farmer can grow higher-value crops, but government subsidies encourage wheat.
 - Yes, but subsidies distort the market. This creates an inefficient allocation of land and effort.
- A customer is willing to pay \$100 for a tool. The store sells it for \$70, unaware of demand.
 - Yes. The store has an information problem. Better market research could lead to more profit.
- A firm has excess warehouse space. No system exists to lease or repurpose it.
 - Yes, but the firm has an organizational design problem. Fixing it will allow lower valued assets to flow to higher valued uses.

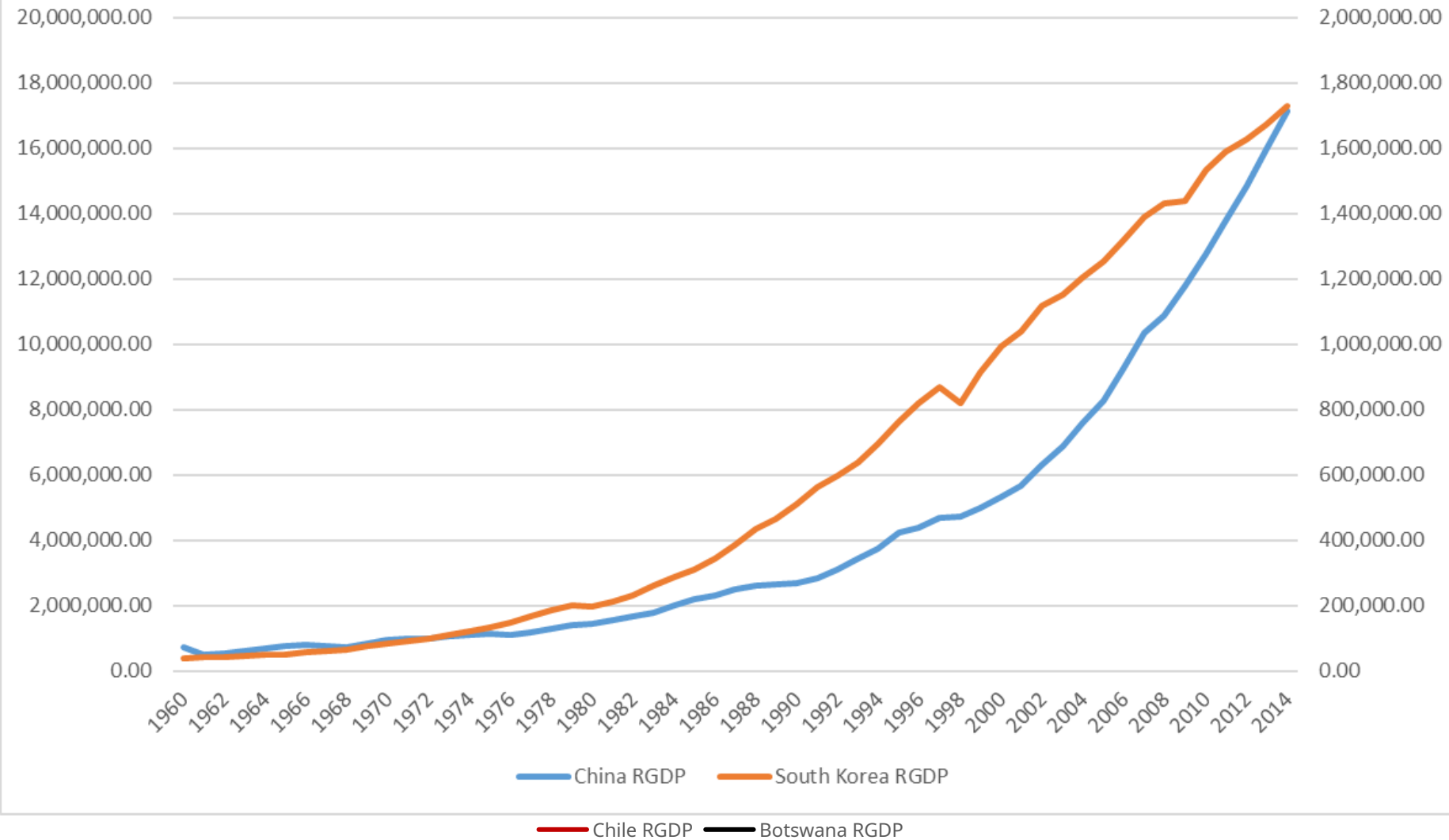
The Usefulness of Economics

- **Definition:** an economy is **efficient** if all wealth-creating transactions have been consummated.
 - This is an unattainable, but useful benchmark
- **The One Lesson of Economics:** the art of economics consists in looking not merely at the immediate but at the longer effects of any act or policy; it consists in tracing the consequences of that policy not merely for one group but for all groups.
 - Policies should then be judged by whether they move us towards or away from efficiency.
 - Consider policies such as the [Corporate Average Fuel Economy](#) (CAFÉ).
 - [The Economic Cost of Fuel Economy Standards Versus a Gasoline Tax](#)
 - [CAFÉ standards rolled back?](#)
- The economist's solution to inefficient outcomes is to argue for a change in public policy.

The Government and Wealth

- The enforcement of [property rights](#) (private ownership over one's own resources) is extremely important in helping to create wealth.
- Without property rights, people become more reluctant to sell their resources.
- Government ownership of private property is more likely to lead to less wealth-creating transactions, as there is no incentive to respond to increasing or decreasing market values.
- We can extend property rights to contracts as well.
- The government does destroy wealth at the same time.
- **Taxes, subsidies, and price controls** are three ways the government does so.

China and South Korea RGDP (1960 - 2014)



Property Rights

The government can give people property rights over animals?



Taxes

- An increase in taxes causes a decrease in supply due to the increase in the cost of production per unit.
- A decrease in taxes causes an increase in supply due to the decrease in the cost of production per unit.
- Taxes are set by the government and usually result in the consumer paying a higher price and receiving a lower quantity than the market equilibrium. The producer will also receive a lower price and produce less than the market equilibrium.
- As a result of the market being distorted by taxes, consumer and producer surplus decline and welfare is lost to society.

How Taxes Kill Deals

- Suppose you are willing to pay \$20,000 for a car.
- The dealer is willing to accept \$18,000 for the car that costs the dealership \$15,000.
- Before taxes, voluntary trade generates \$2,000 in consumer surplus and \$3,000 in producer surplus.
- If \$1,000 in taxes are levied on the buyer, consumer surplus falls by \$1,000
- If \$3,000 in taxes are added to the agreed upon price, no transaction takes place.

Activity - Taxes

1. Suppose that you want to buy a car. You value the car at \$50,000. The seller values the car at \$30,000 and the car is sold at \$40,000. How much surplus is generated?
2. What if the government imposed a tax on the transaction? What tax rate causes the transaction to not occur?
3. Suppose that you want to buy a car. You value the car at \$50,000. The seller values the car at \$30,000. Suppose a 10% tax is levied on the seller. What would be the bottom line price the seller would accept?

Activity – Taxes

1. $\$50,000 - \$40,000 = \$10,000$

$$\$40,000 - \$30,000 = \$10,000$$

$$\$10,000 + \$10,000 = \$20,000$$

2. *market price $\times (1 + t)$ = consumer valuation*

$$\$40,000 \times (1 + t) = \$50,000$$

$$\$40,000 + \$40,000t = \$50,000$$

$$\$40,000t = \$10,000$$

$$t = 0.25$$

3. *seller valuation $\times (1 + t)$ = bottom line price*

$$\$30,000 \times (1 + 0.10) = blp$$

$$\$30,000 + \$3,000 = blp$$

$$\$33,000 = \text{bottom line price}$$

Subsidies

- Subsidies work in much the same way as taxes.
- Subsidies move higher valued resources to a lower valued use.
- Many government programs provide subsidies to lower valued uses. For example, consider welfare. Recipients of welfare are provided some level of income and in many cases food stamps. This allows them to have some form of a standard of living. But is this truly the best use of those funds?
- The agricultural industry is very familiar with subsidies.
 - [Sugar](#) price supports costs the American taxpayer about \$2.4 billion annually and results in a price about double the world price.
 - Would prices for crops rise without subsidies?
 - Not much. [One estimate](#) showed that corn, soybean and wheat prices would have only changed by about 1% of what they were.

Price Controls

- Disequilibrium prices are often enacted by the government and come in two varieties:
- **Price ceilings** - a legal maximum price that can be charged for a good.
- For price ceilings to have an effect (be binding), they must be set below the market equilibrium price.
 - A common example of price ceilings is [rent controls](#). Goods such as [gas](#), [food](#), and [cars](#) have had their price restricted at some point.
- **Price floors** – a legal minimum price that can be charged for a good.
- For price floors to have an effect (be binding), they must be set above the market equilibrium price.
- A common example of a price floor is the minimum wage.

Price Ceilings: When You Can't Find What You Need

- Rent capped at \$500 (was \$1,000).
- Landlords pull apartments off the market.
- Shortages appear: too many renters chasing too few apartments.
- Black markets emerge paying extra under the table becomes common.
- Quality declines: landlords spend less on maintenance.
- Hidden costs increase time spent searching, poorer living conditions.

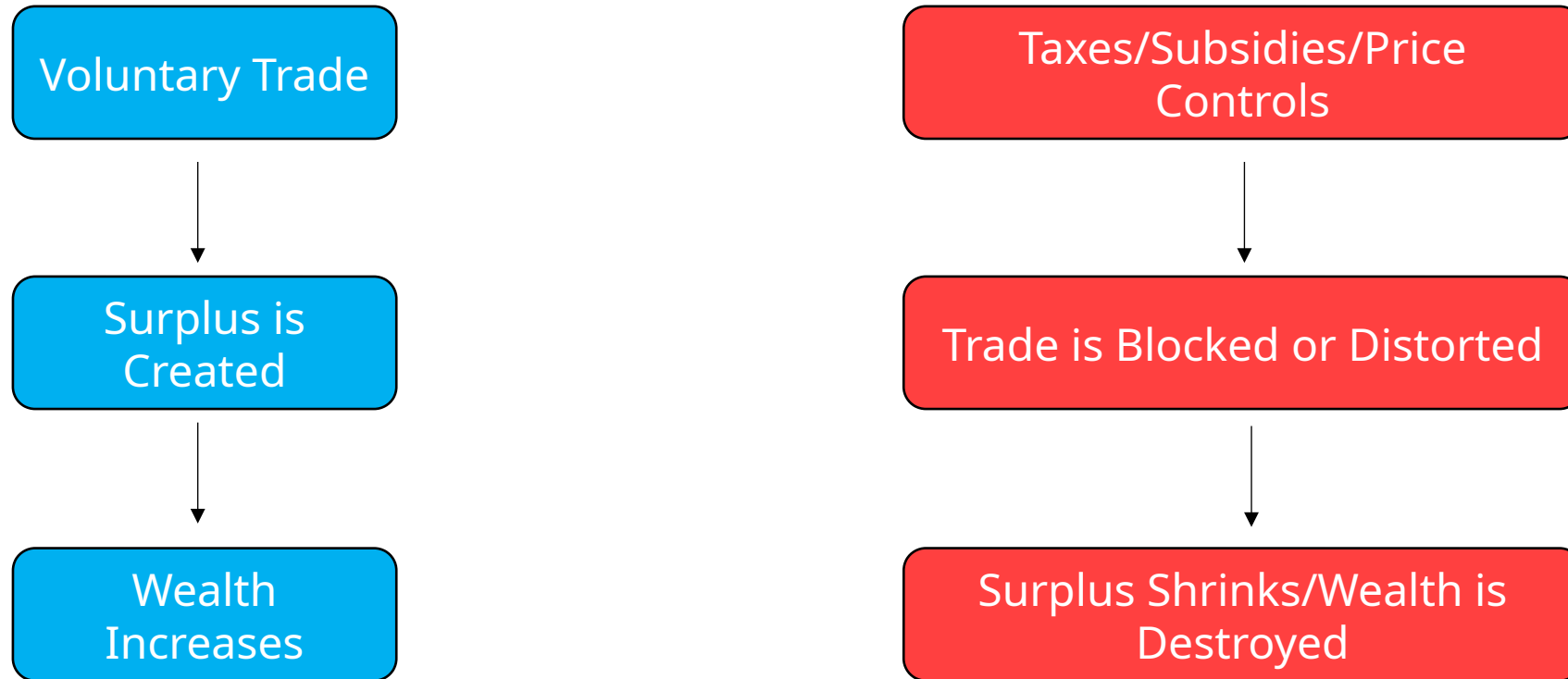
Price Floors: When Jobs Disappear

- Would pay \$10 for lawn mowing.
- \$20 minimum wage = no hire.
- Opportunity lost.
- Businesses adjust by hiring fewer workers, automating tasks, or not offering jobs at all.
- Youth, low-skill, and entry-level workers are the most impacted, missing critical early job experience

Discussion Activity 2

- Can you think of a time when a government policy (tax, subsidy, or control) prevented a beneficial transaction from happening?
- Think of something like rent control, minimum wage, or tariffs. What might the unintended consequence have been?

How Wealth is Created (and Destroyed)



Activity – Blocked Wealth Creation

Scenario:

- A company has a pricing analyst who spots a way to bundle products profitably, but she needs VP approval for all pricing changes. The VP is busy, slow to respond, and unconvinced.

Questions:

1. What's being blocked here?
2. Is this an issue of incentive, information, or decision rights?
3. What change could make the org more wealth-creating?

Activity – Blocked Wealth Creation

1. A value-creating pricing change. The opportunity to generate more revenue/profit through bundling is stalled.
 - In economic terms: wealth creation is blocked by organizational friction.
2. Primary issue: Decision Rights
 - The person with the best information (the analyst) doesn't have the authority to act.
 - The VP has the decision rights but lacks time or the granular insight to recognize the opportunity.
 - It's a misalignment: the person with the idea can't execute it, and the person who can execute isn't equipped or motivated to do so quickly.
- Secondary issue: Incentives
 - If the VP isn't accountable for pricing gains, they may not prioritize responding.
 - The analyst might lose motivation if ideas constantly stall.
3. Redesign the decision rights:
 - Delegate pricing authority for lower-risk or pre-approved categories to the pricing team.
 - Create a threshold system: if expected revenue uplift is below X%, analyst can auto-approve.
 - Use decision logs or review boards instead of case-by-case VP bottlenecks.

Minimum Wage – Facts and Figures

- The federal minimum wage is \$7.25 as of July, 2009.
- Many states have their own minimum wage laws.
 - In the event that a state minimum wage exceeds the federal minimum wage, the state minimum wage is used.
 - If the state minimum wage is less than the federal minimum wage, the federal minimum wage is used.
 - Washington has the highest state minimum wage at \$11.50 (D.C. has a \$13.25 minimum wage)
 - Massachusetts enacted legislation in 2018 to raise its minimum wage to \$15 over the next five years
 - Georgia and Wyoming have the lowest state minimum wage at \$5.15
- In 2018, minimum wage (or below minimum) employees only made up 2.1% of all paid hourly employees
- 655,000 workers were full-time (35 hours or more). Of that 104,000 were paid at the minimum wage (the rest were paid below the minimum wage).
- 885,000 workers were part-time (0-35 hours). Of that 282,000 were paid at the minimum wage (the rest were paid below the minimum wage).
- The South had the largest number of minimum wage employees at 855,000
- Louisiana had the largest percent of employees earning the minimum wage (4.5%)

Minimum Wage – Facts and Figures

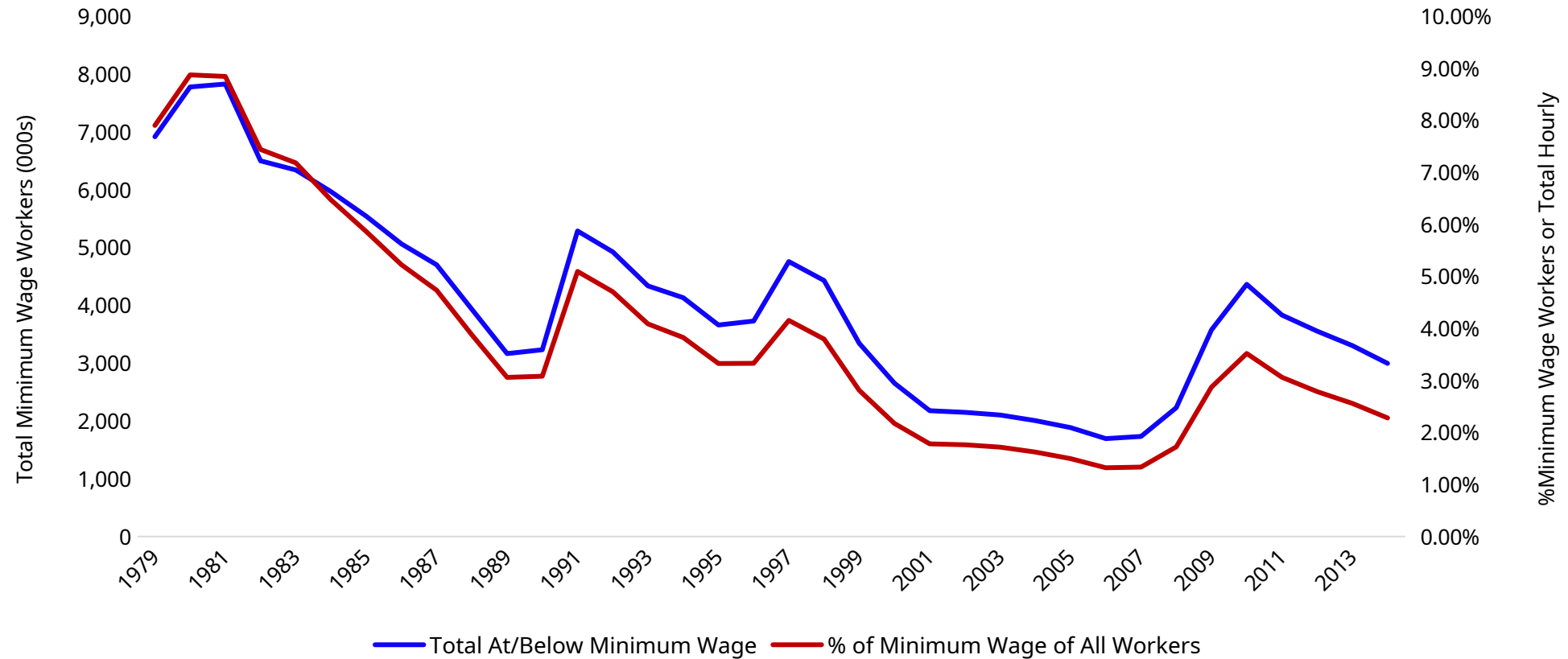
- The makeup of minimum wage employees is (2018 numbers) ([BLS.gov](#))

Total				
	All Hourly	Total Min	At Min.	% All
16 years and older	81,915	1,711	434	2.1
16 to 24	15,963	805	271	5.0
25 year and older	65,952	905	163	1.4

- Which industry made up the largest share of minimum wage employees?
 - Food preparation and serving related occupations
 - 968,000 jobs out of 1,711,000 total.
 - These jobs account for 56.6% of minimum wage workers.

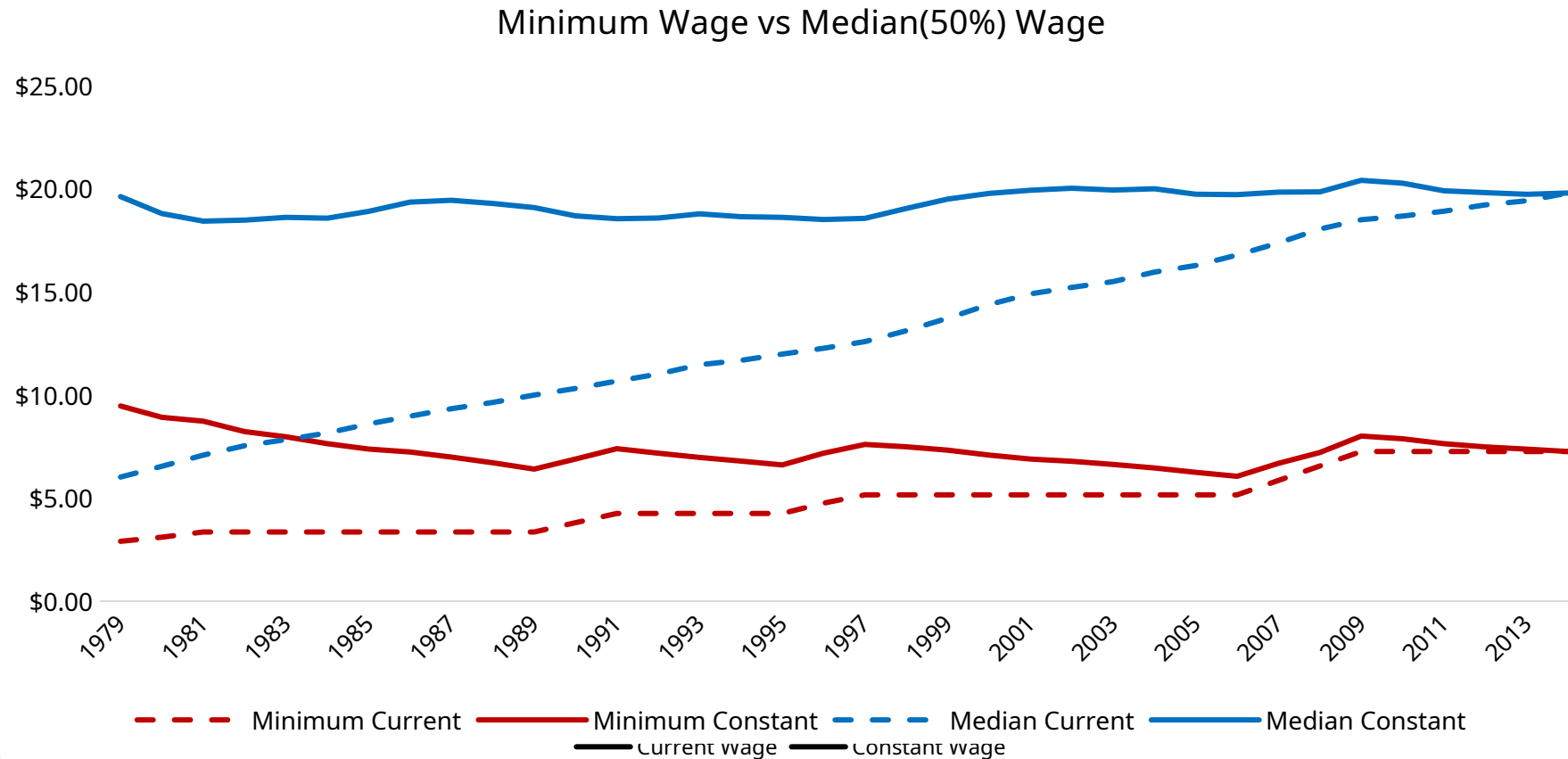
Minimum Wage – Facts and Figures

Minimum Wage Employment 1979-2014

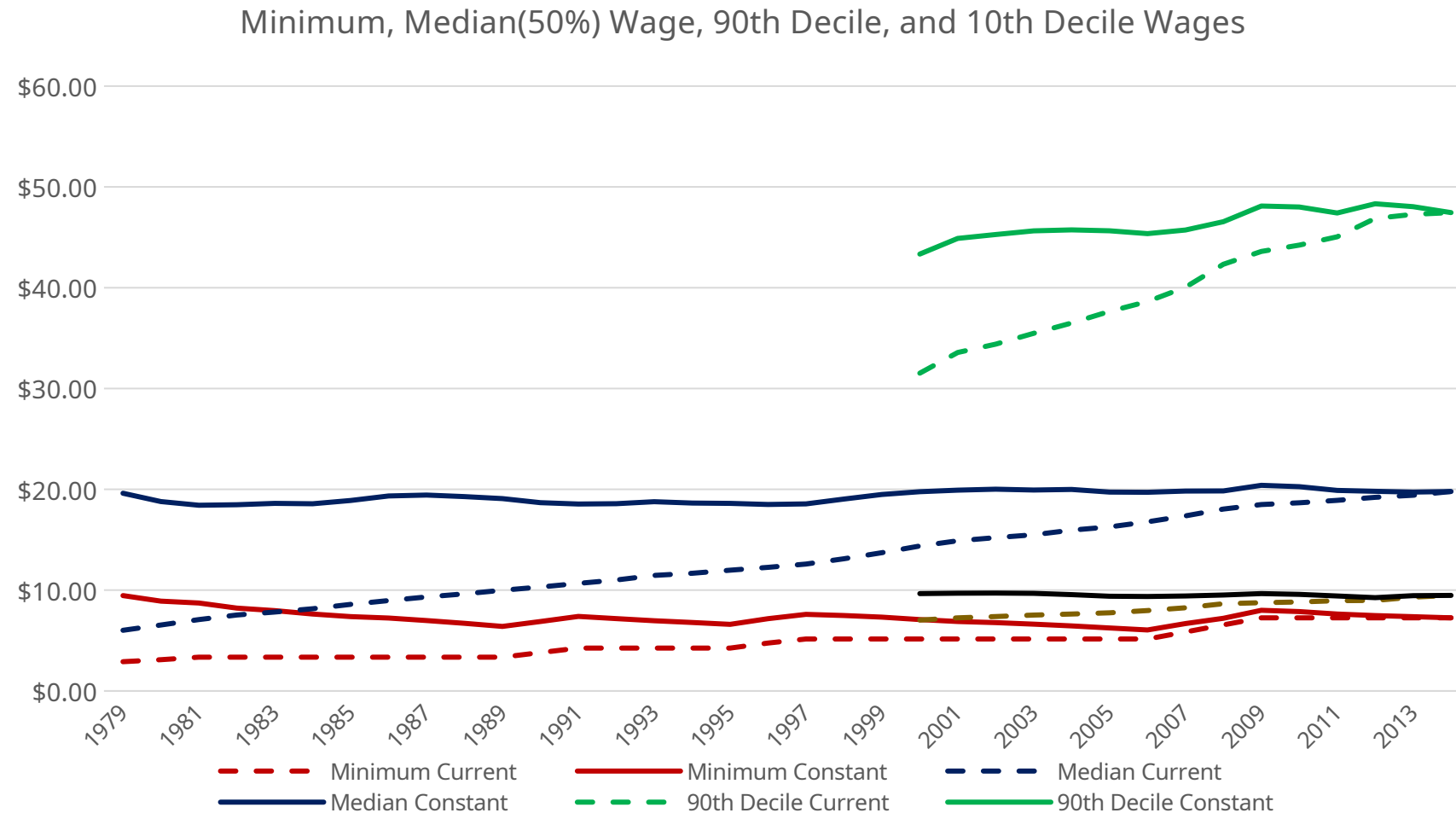


Minimum Wage – Facts and Figures

- Is the minimum wage a living wage? How do we define a living wage?



Minimum Wage – Facts and Figures



Minimum Wage Debate

- The facts and figures have been presented, but does an increase in the minimum wage really affect workers? If so, which ones are affected?
- The evidence is somewhat mixed, however, most journal articles find that the minimum wage does cause unemployment, in particular amongst the young and unskilled.
- In a 2013 [working paper](#), Meer and West note that most papers have focused on employment levels (i.e. whether jobs are maintained or not) and not employment dynamics (i.e. whether job creation/losses takes place in expanding/contracting industries due to the minimum wage).
- Their findings include: an increase in the minimum wage doesn't affect employment levels, but it does create a significant drop in the rate of job creation (i.e. employers are less likely to create more jobs with a higher minimum wage). Moreover, this drop isn't from contracting industries cutting jobs, but from expanding ones, creating less jobs. Teens and uneducated workers were hurt the most.
- [Mark Perry](#), adds that raising the minimum wage to \$10 would reduce teenage unemployment by 3.8% or 171,000 teenagers who are now employed, would lose their job.

Minimum Wage Debate

- The study most point to in favor of the minimum wage is the [Card and Krueger \(1994\)](#) one.
 - Their findings (using a difference-in-difference model) suggested that an increase in the minimum wage had no effect on the reduction in minimum wage employees (particularly fast-food employees). Though, they did find that the burden of the minimum wage was passed on to consumers in the form of higher food prices.
- More recently, two competing studies have arisen out of the Seattle minimum wage raise. [One](#) from UC-Berkley claims the [other](#) overstates employment effects.
 - The UW study found that the increase in the minimum wage to \$13/hr led to reduced hours worked in low-wage jobs by about 9 percent, with hourly wages increasing by about 3%. Overall, earnings among low-wage employees fell by \$125 per month.
- [Another study](#) out of the University of Wisconsin-Madison, compared changes in the Minnesota minimum wage using Wisconsin as a control (i.e. Wisconsin wasn't actively increasing their minimum wage while Minnesota was).
 - The results were typical: low-skill and/or young workers were the most affected. Low-skill workers saw their employment fall by 4% and young workers saw their employment fall by 9% relative to Wisconsin—whose young employees (age 24 or less) saw employment increase by 10.6% during the time of the study.
- Lastly, [a study](#) spanning nearly 40 years of minimum wage hikes finds little effect on “bunched” employment, meaning missing jobs at below the minimum wage were matched by excess jobs just above the minimum wage.

Discussion Activity 3

- Should the government raise the minimum wage? What would you predict happens to job creation in high- and low-skill sectors?
- Remember: look beyond employment levels. What do the studies say about job creation and who is most affected?

Implicitly Subsidizing Rent

- Let's look at a common public policy designed to help those obtain a place to live.
- First, consider people who are in arrears (owing money that should have been paid earlier).
- Landlords may seek to raise rent on said people as they seem to be more likely to default and landlords want to get new tenants in who are more agreeable to pay rent on time.
- However, policies are put in place to protect these renters from rent hikes.
- The end result is a housing imbalance. First, landlords become more selective in their leasing (often excluding young people and those on fixed-term employment). Second, with protection in rent, housing becomes more restricted and of poorer quality (our rent control model).

Case Study: Sugar Subsidy

Background

- U.S. government provides price supports to domestic sugar producers
- Results in U.S. sugar prices about 2× higher than world prices
- Estimated annual cost to taxpayers: \$2.4 billion
- Benefits ~4,500 producers
- Costs millions of consumers and manufacturers (e.g., candy, baked goods)

Wealth Creation/Destruction

- Are we moving sugar to a higher- or lower-valued use?
 - Lower. Higher prices reduce consumption, and production is shielded from competition.
- Who benefits and who loses?
 - Winners: Sugar producers
 - Losers: Consumers, candy manufacturers, soft drink companies, low-income households
- What are the long-term consequences?
 - Misallocation of resources
 - Reduced efficiency
 - Jobs lost in downstream industries due to high input costs

Wealth Creation through Organizational Design

- A well-designed organization lets employees act on value-creating information.
- Aligning incentives encourages action on profitable opportunities.
- Blocked decision rights, bad incentives, or poor information flow = missed profit.
- Think of a company that rewards employees for spotting profitable ideas. What might that look like?

What Have We Learned?

- Voluntary trade moves resources to higher-valued uses, making both parties better off.
- Government interventions, though often well-intentioned, block trades and reduce total wealth.
- Letting people trade freely grows the economy, increases opportunities, and lifts society as a whole.

Find the Wealth Trap

- Find a government policy, regulation, or company rule that unintentionally blocks wealth-creating transactions. Use Chapter 2's concepts to explain:
 - Why it happens?
 - Who is helped and who is hurt?
 - How might you fix it?

Key Takeaways

- Wealth is created when assets move from lower-to higher-valued uses through voluntary exchange.
- Willingness to pay (WTP) reflects how much value a buyer places on a good. Willingness to sell (WTS) reflects a seller's value.
- Surplus = value gained:
 - Consumer surplus = $WTP - Price$
 - Producer surplus = $Price - WTS$
- Mutual benefit: Voluntary trade increases welfare for both parties.
- Anything that blocks trade (e.g., taxes, subsidies, price controls) can destroy wealth by preventing surplus.
- Efficiency = all value-creating trades have occurred. An ideal benchmark to evaluate policies and markets.
- Government interventions (like price ceilings or floors) often reduce total surplus, even if well-intentioned.
- Property rights are essential for trade and efficiency — they encourage people to exchange and invest.
- The "one lesson of business": Profit comes from finding assets in low-value uses and moving them to higher-value ones.

Knowledge Check

1. What creates wealth in a market economy?
2. What are consumer and producer surplus?
3. What is the effect of a tax on a voluntary transaction?
4. Why might subsidies destroy wealth instead of create it?
5. How do price controls (floors or ceilings) affect trade?

Knowledge Check Answers

- Voluntary trade between parties with differing values for a resource; moving it to a higher-valued use.
- Consumer surplus = buyer's value – price paid; Producer surplus = price received – seller's cost/value.
- Taxes reduce consumer and/or producer surplus and may prevent the trade entirely, shrinking total surplus.
- Subsidies can misdirect resources to lower-valued uses that wouldn't occur in a free market.
- Price ceilings cause shortages and reduced quality; price floors cause surpluses and unemployment.

Consultant's Challenge: Finding Hidden Value

Scenario:

- You're advising a local bike shop that wants to grow but feels stuck. Their margins are thin, and they aren't sure what to change: pricing, inventory, or expansion?

Your Task:

1. Where might value be hidden in their current transactions, processes, or pricing?
2. How would you help them design their organization to move assets or decisions to higher-value uses?